INVESTMENT MEMORANDUM

Strategic Allocation to Canadian Infrastructure: Increasing Weight to 5%

Date: November 12, 2024 | Ref: IM-2024-INF-003

Proposed Action: Increase Infrastructure allocation from 3% to 5%

Funding Source: Reduce Fixed Income by 2%

Estimated Impact: +0.15% annualized yield; -0.08 portfolio duration

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Reviewed by: Investment Committee - Meeting of Nov 14, 2024

Recommendation

We recommend increasing the strategic allocation to Canadian Infrastructure from 3% to 5% of total portfolio assets, funded by a corresponding reduction in the Fixed Income allocation. This change reflects our conviction that regulated Canadian infrastructure assets offer a compelling combination of inflation linkage, income stability, and long-duration cash flow visibility that is difficult to replicate in the current fixed income environment.

Investment Rationale

The infrastructure thesis rests on three pillars:

- Inflation protection: The majority of Canadian regulated infrastructure assets (pipelines, utilities, toll roads) have inflation-linked rate structures. Revenue is indexed to CPI or PPI, providing a natural hedge against sustained inflation - a feature lacking in nominal fixed income.
- Rate cycle dynamics: While rising rates have weighed on infrastructure valuations over 2022-2024, the Bank of Canada pivot creates a favourable entry point. Infrastructure assets have historically re-rated positively in early easing cycles as discount rates decline and income yields look more attractive relative to bonds.
- Energy transition tailwind: Canadian infrastructure is uniquely positioned to benefit from the energy transition. TC Energy, Algonquin, and Brookfield all have significant renewable energy and hydrogen infrastructure development pipelines backed by long-term offtake agreements.

Key Holdings and Thesis

Proposed core holdings for the infrastructure allocation:

- Brookfield Infrastructure Partners (BIP) - 1.8% weight: Diversified global infrastructure with strong organic growth. Fee streams from utilities, transport, midstream, and data infrastructure. Management has delivered 12% annualized distribution growth over 10 years. Current yield 3.8%.
- TC Energy (TRP) - 1.2% weight: Canada's largest natural gas pipeline network. Stable regulated earnings with 7% growth CAGR guided through 2027. Dividend yield 6.9% provides significant income contribution. Key asset: Coastal GasLink pipeline ramping up volumes.
- Fortis Inc (FTS) - 1.0% weight: Regulated electric and gas utility operating across Canada, US, and Caribbean. Among the most defensive infrastructure names globally. 50-year consecutive dividend increase track record. 4.5% dividend yield with 4-6% annual growth guidance through 2028.
- Algonquin Power (AQN) - 1.0% weight: Renewable power and regulated utilities. Recent balance sheet restructuring has improved leverage profile. 7.2% dividend yield with potential for recovery as earnings stabilize.

Risk Assessment

- Regulatory risk: Rate review proceedings can compress allowed returns for regulated utilities. Risk is mitigated by diversification across multiple regulatory jurisdictions.
- Interest rate sensitivity: Infrastructure valuations are inversely correlated with interest rates. A surprise re-acceleration in inflation causing rates to rise could compress multiples.
- Execution risk: Construction cost overruns on major projects (Coastal GasLink final cost was 70% above initial budget) can impair earnings and credit ratings.
- Political and ESG risk: Pipeline approvals face increasing Indigenous land rights and environmental challenges. TC Energy's abandoned Keystone XL project is a cautionary example.

Portfolio Impact Analysis

Pro-forma analysis shows the infrastructure increase improves portfolio yield by approximately 15bps (from 2.2% to 2.35%), reduces portfolio duration by 0.08 years (modest), and increases inflation sensitivity. The Sharpe ratio of the blended portfolio improves marginally based on historical correlation analysis. Tracking error versus the blended benchmark increases from 1.8% to 2.1% - within the 3% limit specified in the IPS.